Token Continuity Framework — CLARITY Act Supplement

A supplement to the Token Continuity Framework White Paper (Part III, March 2026)

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> **Status notice.** This supplement addresses the Digital Asset Market Clarity Act as advanced by the Senate Banking Committee on May 14, 2026 (ordered reported, 15-9) — the Committee's market-structure substitute text to H.R. 3633, 119th Cong. (2d Sess. 2026), Chairman Scott, released ahead of the May 14, 2026 markup as S.L.C. print EHF26374. The discussion principally concerns §§ 102-105, as described in the Committee's section-by-section summary and markup text. The Act is **pending legislation, not enacted law**, and the CFTC-side intermediary provisions remain to be reconciled with the Senate Agriculture Committee's companion bill. Nothing here assumes its passage, and the Framework's analysis does not depend on it.

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1. Why this supplement exists

The Framework's white paper was written against the regulatory landscape as of March 2026 — principally the joint SEC/CFTC interpretive Release (Nos. 33-11412; 34-105020) and its separation doctrine. Since then, the most consequential development has not been regulatory but **legislative**: the CLARITY Act advanced out of the Senate Banking Committee in May 2026.

This supplement does three things:

1. Explains how CLARITY, **if enacted**, would interact with the Framework.

2. Corrects a now-outdated emphasis in the original materials on the SEC no-action letter as the primary route to clarity.

3. Reaffirms the Framework's central, regime-independent claim: **the structural work is the product, and the route to clarity is a downstream choice.**

It is deliberately short. It does not restate the 18-issue translation table, the three tiers, or the theater-identification protocol, all of which are unchanged.

2. The claim that does not change

The Framework is, first and last, a **token-design, network-continuity, and structural-risk** framework. Its thesis is that the dominant dual equity-token architecture recreates an unprotected form of economic subordination, and that the cure is structural: enforceable, legible, calibrated constraints on founding-entity discretion across all 18 issues.

That work is **pathway-agnostic.** Whether a project's eventual clarity comes from:

- the Release's **separation doctrine** (interpretive, available now);
- a **Regulation Crypto Assets exemption** (previewed by Chair Atkins, March 2026 — *not codified*); or
- a statutory **decentralization pathway under CLARITY** (pending — *not enacted*),

the underlying structural requirement is identical: reduce founding-entity discretion to the point that token value no longer depends on ongoing managerial efforts. CLARITY changes the *destination options*. It does not change *what a project must build to get there.* This is why the Framework holds — indeed gains — value as the path to clarity is liberalized.

3. How CLARITY maps onto the Framework

CLARITY's architecture, as reflected in the Senate Banking market-structure draft, lines up with the Framework at four points. The following describes the bill's general design at a high level; statutory language may change before enactment.

3.1 The network-token / ancillary-asset distinction is the statutory twin of the separation doctrine.

CLARITY would treat qualifying network tokens as non-securities for federal securities-law purposes, while preserving securities treatment for investment contracts involving ancillary assets and related originator disclosure obligations. It also provides secondary-market treatment under which certain offers or sales of network tokens by persons other than the original investment-contract seller or underwriter are treated as not involving the offer or sale of a security. This is, in substance, what the Release accomplishes interpretively through separation. The difference is durability (see 3.4).

3.2 The certification pathway is control-based — which is exactly what the 18 issues measure.

CLARITY's path out of ancillary-asset treatment turns on whether the token and its related system are no longer dependent on the originator's or related persons' discretionary control. The markup text's key concepts — coordinated control, common control, decentralized governance systems, rules-based processes, and the absence of unilateral authority — are the same control questions the Framework measures. The Framework's diagnostic is, functionally, the structural work-product a project needs to support such a determination: the 18 issues *are* a control inventory. A Tier 2 structure built today is the evidentiary record a certification or decentralization claim would rest on tomorrow.

3.3 Jurisdictional allocation.

CLARITY would allocate spot-market oversight of digital commodities to the CFTC, with the SEC retaining securities. This matters to the Framework only at the margins — it changes *who* a project answers to once it reaches non-security status, not the structural conditions for getting there.

3.4 Statutory durability defeats the interpretive-rule problem.

The Release is an APA interpretive rule. Under *Loper Bright Enterprises v. Raimondo*, 603 U.S. 369 (2024), courts apply *Howey* directly and owe the Release no deference. A statute does not have this weakness: enacted text binds courts. CLARITY's value to the Framework is therefore not that it introduces a new structural standard, but that it would place the *same* result on ground that survives judicial review. **Until enacted, it has no such force, and the Framework's structural case stands on its own — as it always has.**

4. Repositioning the no-action letter

The original materials presented the SEC no-action letter as the **primary** mechanism for structure-specific clarity. In light of CLARITY and the previewed Reg Crypto Assets exemptions, that emphasis is wrong and is corrected here.

For most early-stage projects, a no-action letter is **the least practical route to clarity**: slow, fact-specific, counsel-intensive, and granted one structure at a time. A project still searching for product-market fit will rarely justify the cost or the timeline. Standardized statutory and exemptive pathways exist precisely to replace bespoke, project-by-project staff guidance.

The no-action analysis nonetheless retains real value — **as a diagnostic of the pre-CLARITY regime.** It shows, concretely, how burdensome obtaining clarity is *without* statutory structure: the burden it documents is the argument for legislation. Where a no-action request is still pursued (a narrow set of well-capitalized, late-stage projects with a novel structure and no available exemption), a Tier 2 TCF structure remains the way to present the Staff with a legible, verifiable account of reduced discretion, and a pre-distribution request still carries more weight than a retroactive one.

Net: the no-action letter moves from *destination* to *fallback and illustration.* The structural readiness criteria that the white paper framed as no-action prerequisites are better understood as **conditions that make any non-registration pathway credible.**

5. What this means by tier

The tier targets are unchanged. **Tier 2 (Governance-and-Migration)** remains the appropriate structural target — now articulated as the basis for a credible separation argument today *and* a decentralization determination under a statutory pathway if one is enacted, rather than as "the target for a no-action request." **Tier 3 (Continuity-and-Replacement)** remains the posture for substantial-decentralization claims and DeFi-collateral tokens. The weakest-link rule still governs: a structure is at the lowest tier any of its 18 issues reaches.

6. Practical guidance

- **Founders / GCs:** Build the structure now. It is the one investment that pays off under every pathway and is wasted under none. Do not wait on CLARITY to begin Tier 2 work; do not assume CLARITY to skip it.
- **Investors:** The 18-issue diagnostic is your control inventory for diligence — it tells you whether a token's value still depends on founder discretion regardless of which regime ultimately governs.
- **Policy teams:** The no-action burden is the affirmative case for statutory clarity. Use it.
- **Everyone:** Treat CLARITY as pending. Cite the specific committee version. Keep the "if enacted" hedge until it isn't one.

7. What we do not yet know

- The final text of any enacted statute, including the precise decentralization thresholds and the scope of the digital-commodity offering exemptions.
- Whether Reg Crypto Assets exemptions are codified, and in what form.
- How the SEC/CFTC will reconcile the interpretive Release with a statute that supersedes parts of it.

None of these unknowns changes the structural work. That is the point of a pathway-agnostic framework.

This supplement provides structural analysis for educational purposes. Nothing here constitutes legal advice or an opinion on whether any token is a security under applicable law, and nothing here should be read as a prediction that any pending bill will be enacted in any form. Consult qualified securities counsel before making any regulatory determination.